



User Name: Joelle Jura

Date and Time: Tuesday, September 10, 2024 9:45:00AM EDT

Job Number: 233128548

Document (1)

1. [Dean Sheikh, et al. v. Tesla, Inc; 2018 LexisNexis Jury Verdicts & Settlements 208](#)

Client/Matter: -None-

Dean Sheikh, et al. v. Tesla, Inc; 2018 LexisNexis Jury Verdicts & Settlements 208

17-2193

Nov. 2, 2018 (final approval)

Headline: \$5.4 Million Tesla Autopilot Class Settlement Is Granted Final Approval

Result: \$5.4 million settlement

Court: N.D. Calif.

Judge: Beth Labson Freeman

Plaintiff Profile

Dean Sheikh, John Kelner, Tom Milone, Daury Lamarche and Michael Verdolin

Defendant Profile

Tesla Inc

Plaintiff Counsel

Steve W. Berman, Thomas E. Loeser and Robert F. Lopez, Hagens Berman Sobol Shapiro, Seattle

Defendant Counsel

Penelope A. Preovolos, Clausia M. Vetesi and Lauren Wroblewski, Morrison & Foerster, San Francisco; Sean Gates, Charis Lex, Pasadena, Calif

Case Summary

Claim: Violations of California's unfair competition law, Cal. Bus. & Prof. Code ? 17200 et seq., California's Consumers Legal Remedies Act, Cal. Civ. Code ? 1750 et seq., and California's false advertising law, Cal. Bus. & Prof. Code ? 17500 et seq., California common law and consumer protection and other claims under the laws of the states of each of the class representative plaintiffs

Background: Tesla Inc. sells battery-powered electric vehicles. Beginning in October 2016, Tesla announced its new Hardware 2 (HW2) Model S and Model X vehicles. It also announced that it would release the next generation Enhanced Autopilot for HW2 vehicles, which consumers had the option to purchase for \$5,000. The Tesla website stated that Enhanced Autopilot's new capabilities included the ability to "match speed to traffic conditions, keep within a lane, automatically change lanes without requiring driver input, transition from one freeway to another, exit the freeway when your destination is near, self-park when near a parking spot and be summoned to and from your garage." Tesla began rolling out the Enhanced Autopilot features in January 2017. Updates were released in February, March, May, June and July 2017. As of September 2017, all of the features had been delivered except for the On-ramp to Off-ramp and Smart Summon. **Dean Sheikh** of Colorado, John Kelner of Florida, Tom Milone of New Jersey, Daury Lamarche of New Jersey and Michael Verdolin of California all purchased HW2 vehicles they took possession of in December 2016. At the time they took delivery of their cars, the Enhanced Autopilot and standard safety features of the cars were not operational. The features were rolled out over time. As of September 2017, their Enhanced Autopilot was fully functional, with the exception of On-ramp to Off-ramp and Smart Summon. The five Tesla owners filed a class complaint against Tesla in the U.S. District Court for the Northern District of California on April 19, 2017, alleging that Tesla falsely presented the Enhanced Autopilot as "safer" and "stress free" when it was actually "unusable and demonstrably dangerous." The plaintiffs brought claims under California's unfair competition law, Cal. Bus. & Prof. Code ? 17200 et seq., California's Consumers Legal Remedies Act, Cal. Civ. Code ? 1750 et seq., and California's false advertising law, Cal. Bus. & Prof. Code ? 17500 et seq.,

on behalf of a nationwide class of Tesla owners and lessees. The plaintiffs also asserted claims under California common law. Alternatively, the plaintiffs pleaded consumer protection and other claims under the laws of the states of each of the class representative plaintiffs. The plaintiffs filed a first amended complaint on April 26, 2017, and then a second amended complaint on July 19, 2017.

Other: Following the second amended complaint, Tesla agreed to provide preliminary discovery to the plaintiffs as a prerequisite to possible early mediation discussions. A full-day mediation session occurred Nov. 2, 2017, where the parties agreed on the contours of a settlement that would provide payments to owners and lessees of affected Model S and Model X vehicles who purchased Enhanced Autopilot based on the dates the vehicles were ordered and the dates they were delivered. The parties then spent months in detailed discussions regarding the settlement. The settlement was ultimately finalized April 27, 2018. Preliminary approval was granted June 8, 2018. Under the terms of the settlement, Tesla will provide a settlement fund of \$5,415, 280. Each class member will receive his or her portion of the fund, between \$25 and \$280, based on Tesla's representations regarding the timing of the release of the Enhanced Autopilot features as of the date the class member ordered his or her vehicles, the timing and content of Tesla's Enhanced Autopilot software releases and the date that the class member took delivery of his or her vehicle. Judge Beth Labson Freeman approved the requested attorney fees of \$961,018, expenses of \$14,981.95 and \$4,800 incentive awards for the class representatives. The judge overruled two objections filed by class members. Only one substantively challenged the settlement and the disparity between the class awards and the award for the class representatives. Judge Freeman ruled that the challenge was without merit. "[In re Online-DVD Rental Antitrust Litig., 779 F.3d 934, 942-43, 947-48 \(9th Cir. 2015\)](#), the disparity between the incentive awards and the individual recovery was even greater than is at issue here. Nevertheless, the Ninth Circuit approved the awards based on the limited number of class representatives, the incentive awards' low values compared to the overall class recovery, and the amount of work the class representatives were required to complete in their roles. See [779 F.3d at 947-48](#). For these same reasons, approval is warranted here," the judge ruled.

Key Related Documents

Order.

Document #43-181116-002R.

Motion for final approval of class action settlement.

Document #43-181116-003M.

Tesla's memorandum of points and authorities in support of motion.

Document #43-181116-004B.

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